the 17th century it was the arrival of the tulips in Western Europe, as the next chapter will tell. Later it was the seeming wonders of the joint-stock company, now called the corporation. More recently, in the United States, prior to the great crash of 1987 (often referred to more benignly as a meltdown), it was the accommodation of the markets to the confident, free-enterprise vision of Ronald Reagan with the companion release of the economy from the heavy hand of government and the associated taxes, antitrust enforcement, and regulation. Contributing was the rediscovery, as reliably before, of leverage, in this case the miracle of high-risk or junk bonds supporting the initiatives of the new generation of corporate raiders and leveraged-buyout specialists.

In all speculative episodes there is always an element of pride in discovering what is seemingly new and greatly rewarding in the way of financial instrument or investment opportunity. The individual or institution that does so is thought to be wonderfully ahead of the mob. This insight is then confirmed as others rush to exploit their own, only slightly later vision. This perception of something new and exceptional rewards the ego of the participant, as it is expected also to reward his or her pocketbook. And for a while it does.

As to new financial instruments, however, experience establishes a firm rule, and on few economic matters is understanding more important and frequently, indeed, more slight. The rule is that financial operations do not lend themselves to innovation. What is recurrently so described and celebrated is, without exception, a small variation on an established design, one that owes its distinctive character to the aforementioned brevity of the financial memory. The world of finance hails the invention of the wheel over and over again, often in a slightly more unstable version. All financial innovation involves, in one form or another, the creation of debt secured in greater or lesser adequacy by real assets. This was true in one of the earliest seeming marvels: when banks discovered that they could print bank notes and issue them to borrowers in a volume in excess of the hard-money deposits in the banks' strong rooms. The depositors could be counted upon, it was believed or hoped, not to come all at once for their money. There was no seeming limit to the debt that could thus be leveraged on a given volume of hard cash. A wonderful